of data wrong-footing us was the indication of a significant drop in inflation which prompted me to cut the repo rate by 50 basis points in April 2012. But that inflation number was retrospectively revised upwards; it turned out that inflation had not declined as sharply as we were given to understand in real time.

Flawed data was also the culprit behind the ‘stagflation’ puzzle we had encountered in 2012 when growth moderated steeply from 8.9 per cent in 2010–11 to 6.9 per cent in 2011–12 even as inflation remained elevated. Many analysts had put me in the dock to explain why inflation had not softened even in the face of such a sharp decline in growth and whether the Reserve Bank’s tight monetary policy was actually pushing India down the quagmire of stagflation—a frightening combination of low growth and high inflation similar to the US experience in the late 1970s.

The Reserve Bank denied suggestions of stagflation but that was more an assertion than a persuasive reply. The only conjecture we could offer was that potential growth, which is difficult to measure, had possibly declined more steeply during the crisis years; as a consequence, even at a very moderate rate of output expansion, we were experiencing fairly high inflation. And even as the issue of stagflation was important and needed to be probed, the whole debate remained ill-informed because of unreliable data.

It now turns out that there was no puzzle, after all. Subsequent data revisions tell us that growth had not slowed as sharply as indicated by real-time data, which explains both the presence of high inflation and absence of any stagflation. If, in fact, the Reserve Bank had fallen victim to the groupthink, acquiesced in the stagflation theory and responded accordingly, the macroeconomic implications of the policy error would have been very costly.

The Reserve Bank, under my leadership, had come under frequent criticism for consistently getting its forecasts of growth and inflation wrong. Could we have done better? One straightforward option would have been not to make any forecast at all. Someone, it was perhaps Groucho Marx,